



SAFU: loss-socialization protocol for protocols, wallet providers, and platforms holding user funds.

Businesses deploy a SAFU-powered pool. A verified drain pays out automatically, no vote, no discretionary review.

Grant Application, 2026

A wallet drain has no deterministic recovery path today. Ours took two months and a police report, and security losses still hit **\$972M across 207 incidents in H1 2026, even as DeFi's total value locked fell 38%.**

SAFU's founder started building the day after that recovery ended in January 2026, because a decentralized industry shouldn't route recovery through a centralized, discretionary process that slow.

Source: Binance Research, H1 2026

A business deploys a SAFU-powered pool, funded by its own seed capital together with its end-users staking on top. If a covered wallet is drained, fixed rules assess its tier, a risk score from A to C based on wallet history. Payout is automatic, a fixed multiple of the stake.

✓ No human vote

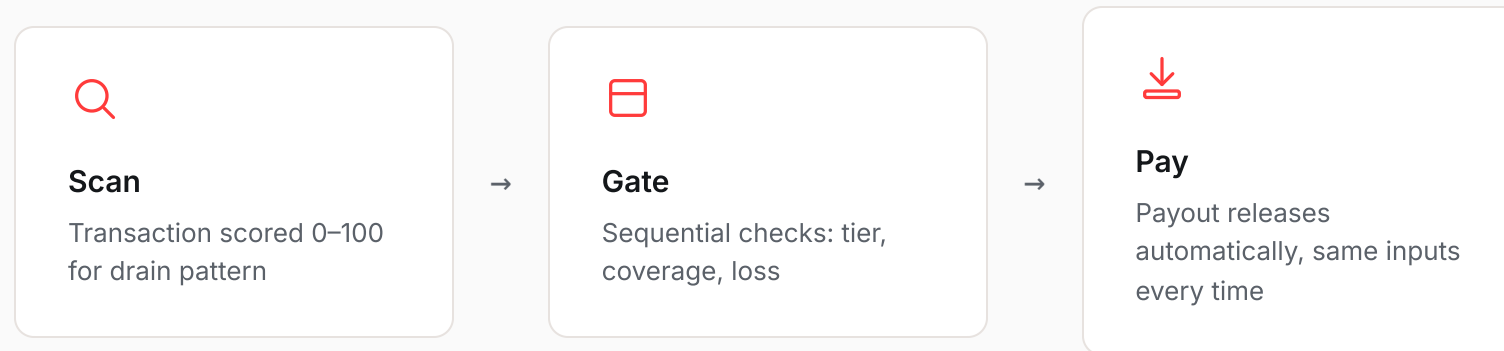
✓ No manual override

✓ Deterministic payout

Whitelabel Pools serve two use cases today: retail, live now, and protocol, still in architecture design.

	WHITELABEL POOLS (RETAIL)	WHITELABEL POOLS (PROTOCOL)
Launched by	A protocol, wallet provider, platform, or ecosystem	An ecosystem only
Funded by	The launcher's own seed capital, together with end-users staking on top	The launching ecosystem's own seed capital
Who's covered	The protocol's retail end-users	The protocols within that ecosystem
Hacks covered	Phishing, approval exploits, key compromise, MEV sandwich attacks	Oracle manipulation, governance manipulation, privileged-function abuse, cross-chain mismatches
Status	Live today on SAFUPoolV8, Ethereum mainnet	Architecture in progress

Three deterministic steps turn a drain event into a payout, and every replay of the same inputs produces the same output.



None of the four largest wallet-adjacent coverage models pay at the wallet level. SAFU pays a fixed multiple of the staked amount as soon as a drain is verified, no vote, no discretionary review.

PROTOCOL	WHO DECIDES A CLAIM	WHAT TRIGGERS PAYOUT	WALLET DRAINS
Nexus Mutual	Member vote	Discretionary	No
InsurAce	Actuarial assessment	Assessed	No
Unslashed Finance	Capital-provider model	Assessed	No
Risk Harbor (now Subsea)	No evidence required	Parametric yield and stablecoin	No
SAFU	The contract	Verified drain, fixed multiple of the stake	Yes

Capital has left these models: Nexus Mutual from about \$800M in 2022 to roughly \$100–200M, InsurAce to \$133,106, Unslashed to \$2.79M, Risk Harbor to \$38,080. SAFU's pools are funded by the people being covered.

Pre-revenue today. Revenue follows the grant-deployment sequence: grants build credibility, credibility opens whitelabel sales.

REVENUE LINE	FUNDED BY	TIMELINE
Grants, fund SAFU's own dev and audit costs, not the pool	SCF #44 (\$30K) + Areta (\$2K), non-dilutive	Now, in hand
Whitelabel pool fees, retail and protocol variants, a fee per deployed pool	Protocol/ecosystem seed capital plus end-user staking (retail), or ecosystem capital alone (protocol)	Near-term, once first pilot signs

Model 2, direct consumer pools: individuals and AI agents stake directly into SAFU's own pool for personal coverage. Launches once Model 1 produces real traction.

Model 3, SAFU Audit: a protocol deposits capital into a coverage pool instead of paying a traditional audit fee, and SAFU's team reviews the code and sets coverage from that review. Launches once Model 1 has traction.

Live and adversarially tested on Ethereum mainnet today, backed by two independent third-party awards.

\$30,000

Stellar Community Fund #44: awarded

communityfund.stellar.org →

\$2,000

Areta Ethereum Audit Subsidy: awarded

areta.io →

- Live on Ethereum mainnet

0xa170f0937DEc353C1806eaC0c3d559524d458641

- Foundry + Soroban test suites

75/75 EVM · 184/184 Soroban passing

- Halmos symbolic verification

10 / 10 properties, zero
counterexamples

Pool deployment expands one grant-funded, audited chain at a time, each evaluated on its own credibility cycle rather than a fixed calendar.

Ethereum

● live now

Stellar

● testnet, SCF #44-funded

Pool deployment on any further chain follows once that chain's own grant lands, evaluated case by case.

Two founders, building together since January 2026.



Murtaza Kanchwala

Co-founder & Protocol Lead

Leads architecture, smart contracts, and technical execution. Built the Solidity pool contracts and Python fraud-scoring pipeline end-to-end. Data Science (R) certificate, Harvard Online, 2021.



Deniz Köse

Co-founder, BD & Marketing

Leads community growth, partnerships, and go-to-market. Industrial Engineering, Koç University; six years across energy, international trading, and crypto.

Asking \$200,000 to fund five sequenced milestones

- 01

Whitelabel deployment package productized, reusing the contracts and backend already live on Ethereum · \$60K
- 02

First chain's grant-funded audit complete, the credibility milestone that unlocks protocol outreach on that chain · \$35K
- 03

First signed whitelabel pilot partner live · \$45K
- 04

Three total whitelabel pools deployed · \$45K
- 05

First case study published using a live partner's real usage data · \$15K

Engineering \$110K · coverage and outreach \$50K · infrastructure \$25K · audit \$15K

Longer term, once Model 1 produces real traction: a dedicated push into direct consumer reach for the same pool individuals and agents can already stake into today, and letting a protocol deposit capital into a coverage pool instead of paying a traditional audit fee, reviewed and priced by SAFU's own team.